

Mark schemes

1.

Relevant issues/logical chains of analysis include:

- defining exchange rate/appreciation/depreciation/revaluation/devaluation
- the distinction between various exchange rate systems
- trade flows will affect an exchange rate. If exports increase so too will the demand for the currency of the exporting country by overseas buyers. This will cause the exchange rate to appreciate. Equally, if imports into a country increase, so too will the supply of that country's currency, causing the exchange rate to depreciate
- Investment flows, competitiveness government involvement in FOREX, interest rates and hot-money flows, expectations, confidence
- External factors such as strong US or Eurozone recovery or an economic shock such as an international banking crisis
- diagrams to help support explanations, eg supply of, and demand for, a currency or for exports and/or imports

[15]



2.

Issues and areas for discussion include:

Introduction	- the Eurozone and the EU - UK status - economic criteria for measuring impact - the likely nature of Eurozone break-up.
Developing the response to the question (Application)	- the degree of stability that had existed before the global financial crisis especially for the weaker members (lines 3–4) - the significance of the debt crisis (lines 8–13) - the importance of eurozone stability for the UK (lines 35–39) - the inability of the UK to be immune from the eurozone problems even though it lies outside the eurozone (lines 39–41) - GDP - injections/withdrawals from the circular flow - cyclical/structural unemployment.
Analysis	- economic instability in the eurozone or more widely in the EU - the impact on the £ - the impact on the euro - the status and stability of the restored national currencies of those economies leaving the eurozone - UK economic growth - UK employment. - UK balance of payments, current and capital accounts, especially the impact on the world economy UK exports - the impact on the UK banking/financial sector - the scale of any UK commitment to 'bail-outs' - diagrams to help the analysis - reference to the real world.
Evaluation	- the significance of which countries actually leave the eurozone - how many countries decide to leave - the policies those countries decide to pursue following their exit - whether or not the exit of some countries leaves the eurozone as a much stronger economic entity with which the UK establishes even stronger economic ties - the relative value of the £ in relation to the newly restored national currencies - if there is a continuing crisis whether or not the UK can compensate by developing stronger economic ties elsewhere in the world - whether the UK and the remaining members of the eurozone pursue policies intended to support the economies exiting from the eurozone - the exit of countries in the context of the state of the world economy at that point and the EU economy in particular - the potential significance of the EU still remaining as an economic entity with, for example, the SEM still intact - reference to what actually happens when this paper is sat by candidates and what is suggested in the data - a final judgment on the issue of countries leaving the eurozone. <i>Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a</i>

genuine effort has been made to display that skill.

It will only be possible for candidates to consider a few of the above. They may also discuss other issues not mentioned above.

[25]

3.

The calculation: Value: In 1999, a euro was worth \$1.20, causing the American price of the good exported from the Eurozone and priced at €20 to be $(20 \times \$1.20)$ \$24.00.

For the correct answer (working need not be shown) with \$ sign shown, ie \$24	2 marks
For the correct answer without the \$ sign shown, ie 24.	1 mark

[2]



6.

Introduction	• Exchange rate • Floating exchange rate • Other exchange rate systems • Macroeconomic stability.
Developing the response to the question (application and analysis)	• Automatic adjustment under a floating exchange rate • The significance of automatic adjustment for macroeconomic stability • Interest rates determined by domestic conditions but nevertheless impacting on the exchange rate • Speculation and its impact • Global economic shocks • Economic growth and stability • The exchange rate and prices • The exchange rate and the balance of payments on current account • The exchange rate and employment • A floating exchange rate and business confidence • The possible significance of intervention by the authorities in an era of managed flexibility • Other factors which are more effective in achieving stability
Evaluation	• The likelihood of automatic adjustment occurring efficiently or at all • Whether other conditions potentially able to secure stability can counteract any destabilising effect of a floating exchange rate or will it be vice versa? • The extent of changes to an exchange rate under a floating system • The impact of economic shocks making it very unlikely that stability can be achieved whatever the exchange rate system in operation • The preparedness of a government to intervene to influence an exchange rate in order that macroeconomic stability can be achieved • In reality, how long is 'a period of macroeconomic stability' expected to be? • Are changes in an exchange rate, within reason, really relevant to achieving macroeconomic stability? • The need to recognise that a floating exchange rate may help to stabilise one aspect of the macroeconomy, eg prices, but not do a great deal for another aspect, eg economic growth. <i>Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.</i>
Also give credit for:	• Reference to the UK/other economies • Diagrams • An overall judgement on the issues raised.

It will only be possible for candidates to consider a few of the above. They may also discuss other issues not mentioned above.

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7.

B

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8.

Explanation:

Definition: Interest rates are the returns to saving or the cost of borrowing whereas figures have been adjusted to take into account inflation so the real interest rate is the nominal interest rate minus the inflation rate.

Analysis:

For example: as interest rates fall as part of a loose monetary policy speculators will decide there is little return from holding money in the currency in question and will move money to where rates of return are better this will lead to a capital flight from that currency to more profitable currencies which increases supply and also a decreasing demand for the original currency and as a result will depreciate the original currency.

Use of appropriate diagrams, eg supply and demand of currency/exchange rates.

Reference to the UK or other economies.

[9]

9.

For defining/explaining

- Globalisation
- Balance of payments on current account
- Trade deficit
- Import controls.

For example: By carrying out supply-side policies such as training and education this would hopefully improve productivity in the domestic market which should improve the potential output per worker which increases the long run productive potential of the economy. This could reduce the general price level which makes domestic goods and services more competitive abroad which may lead to other countries increasing demand for the UK's exports such as financial services in which the UK holds a comparative advantage and if the value of imports remains the same this may reduce the balance of payments on the current account.

Other examples could include: issues such as exchange rate depreciation, expenditure reducing policies or export subsidies.

Use of diagrams to help support explanations, eg LRAS increasing or exchange rate depreciation.

Reference to the UK and/or other economies.

[15]

10.

Areas for discussion include:

- definitions of free trade and protectionist policy in context of international trade
- types of protectionist policy
- potential benefits gained through protectionist policies e.g in relation to growth, jobs the current account of the balance of payments
- the growing UK current account deficit; has been at record levels as a percentage of GDP
- businesses may find it hard to compete against low-cost foreign competition
- improvements in technology, transport etc. make it easier for consumers to buy from abroad
- impact of international trade on government objectives for jobs and the current account balance
- cheaper labour overseas makes it hard for UK businesses to compete on price
- cheap labour is just another form of comparative advantage and should not be seen as unfair
- arguments to justify protection, e.g. infant industry, job protection, prevention of dumping
- membership of the WTO makes it very difficult for the UK to adopt protectionist policies
- EU membership means severe limitations on what protectionist measures can be introduced
- protectionist policies are likely to lead to retaliation from other countries no real evidence that protectionist policies work in long-run – countries with highly protected industries have not outperformed those with more open economies
- discussion of alternatives to protectionism, eg allowing the exchange rate to fall international trade may make it easier to achieve some government objectives, e.g. low inflation and high productivity

The use of relevant diagrams to support the analysis should be taken into account when assessing the quality of the student's response to the question.

[25]

12.

Relevant issues include:

- definition of international trade
- absolute and comparative advantage
- benefits of comparative advantage as long as trade occurs at a mutually beneficial terms of trade
- numerical example to illustrate the principle of comparative advantage
- international trade allows specialisation so countries can benefit from more efficient production which should mean more jobs and cheaper prices for consumers
- availability of consumer goods that cannot be easily produced in UK
- increased choice for consumers which should lead to lower prices and higher quality products
- helps to prevent domestic firms with monopoly power exploiting consumers
- the dynamic effects of international trade on domestic producers, eg through increased competition stimulating improvements in productivity and innovation

The use of relevant diagrams to support the analysis should be taken into account when assessing the quality of the student's response to the question.

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13.

Areas for discussion include:

- definitions of unemployment and deficit reduction
- different types of unemployment
- policies that can be used to reduce unemployment
- methods by which deficit can be reduced, eg tax increases and/or spending cuts by the government
- reasons for current deficit-reduction policy
- effects of deficit reduction on aggregate demand, output and employment
- multiplier effects
- how different methods of reducing the deficit will affect unemployment, e.g. tax increases, cuts in welfare, cuts in direct government spending on goods and services
- recent changes in unemployment in the UK
- supply-side policies can help to reduce unemployment
- how a reduction in the deficit can affect different types of unemployment
- how other components of AD may rise as the government's contribution to AD falls
- factors that may boost AD to replace the effect of lost government expenditure, eg crowding-in effects
- size and pace of any planned deficit reduction
- cuts in government expenditure may or may not fall on areas that affect employment significantly
- time lag between the deficit-reduction policy and the effect on employment
- the impact of events in the rest of the world
- the impact of changes in the sterling exchange rate
- monetary policy may help to offset policy of deficit reduction, eg low UK interest rates and unconventional monetary policy measures have supported the expansion of AD since 2008/9

The use of relevant diagrams to support the analysis should be taken into account when assessing the quality of the student's response to the question.

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14.

Relevant issues include:

- lower AD leading to a fall in the price level
- reduction in consumer confidence and spending
- lower business confidence and investment
- price cutting by firms in a period of recession
- recession/deflation in the rest of the world
- falling world commodity prices
- strengthening exchange rate
- technological breakthroughs lowering costs of production
- impact of cheaper imports from low waged economies
- malign v benign deflation

The use of relevant diagrams to support the analysis should be taken into account when assessing the quality of the student's response to the question.

[15]

15. Calculation:

$$\$36\,617/1.7 = \pounds 21\,539$$

Response	Marks
For the correct answer with the £ sign and to nearest £	2 marks
For a correct answer but without the £ sign and/or not to nearest £	1 mark

[2]

17. C

[1]

18. In this part of the question, candidates will need to demonstrate that they are able to evaluate issues and arguments to support a conclusion if they are to be awarded **more than 15 marks**.

Level 5	Good analysis <u>and</u> good evaluation	22 to 25 marks <i>Mid-Point 24 marks</i>
Level 4	Good analysis <u>but</u> limited evaluation OR Reasonable analysis <u>and</u> reasonable evaluation	17 to 21 <i>Mid-Point 19 marks</i>
Level 3	Reasonable including some correct analysis <u>but</u> very limited evaluation	10 to 16 <i>Mid-Point 13 marks</i>
Level 2	Weak with some understanding	4 to 9 <i>Mid-Point 7 marks</i>
Level 1	Very weak	0 to 3 <i>Mid-Point 2 marks</i>

Introduction	• The EU • How benefits to individuals and firms can be measured • Consumer welfare
Developing the response to the question: (application and analysis)	Benefits of EU membership on individuals and firms: • Job creation in export industries • Increased supply of labour potentially reduces costs for firms • Lower cost labour reduces cost of living therefore improved consumer welfare • Firm's costs are reduced for raw materials from within EU • Economies of scale • Competition drives efficiency in firms • Other benefits e.g. maternity / paternity benefits (Individuals) • Microeconomic effects and effects on individual markets e.g. CAP • Potentially larger markets for firms • Employment opportunities accessible in other countries Costs of EU membership on individuals and firms: • Structural unemployment in certain regions due to free trade • Pressure on public services due to increased population as a result of immigration from other EU countries • Higher taxes on individuals to pay for public services • Increased supply of labour could lower wages for individuals • Higher taxes as a result of EU contributions • Microeconomic effects such as higher agricultural prices due to common external tariff and CAP • EU regulations increasing costs • Competition causing firms to go bust
Evaluation	• Benefits to some people such as lower cost for wages for firms may be a problem for others for example low-paid workers • Difficulty of estimating what would have happened had the UK not been in the EU • Different experiences in different regions of the UK, structural unemployment may be exacerbated in some areas • How do we measure benefits? The issues are somewhat subjective • What is the alternative? Potential of "Brexit" <i>Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.</i>
Also give credit for	• Reference to the UK / other economies • Diagrams • An overall judgement on the issues raised.

It will only be possible for candidates to consider a few of the above. They may also discuss other issues not mentioned above.

19.

Areas for discussion include:

- nature of monetary policy
- the Bank of England/MPC and the operation of monetary policy in the UK
- what is meant by macroeconomic stability and the indicators of macroeconomic performance
- how monetary policy affects macroeconomic performance, eg by influencing aggregate demand, influencing expectations, impacts on financial markets
- monetary policy transmission mechanisms
- role of interest rates in affecting aggregate demand
- limitations of changes in bank rate, eg likely to be less effective when confidence is low, may not be reflected in market interest rates, the lower pound problem
- quantitative easing, Funding for Lending, Forward Guidance and other less conventional monetary measures
- monetary policy as a means of fine-tuning the economy and responding to economic shocks
- monetary policy and long-run growth
- monetary policy, debt and asset prices
- monetary policy and the exchange rate
- monetary policy in a world of floating exchange rates and 'unrestricted' capital flows
- the contribution, or otherwise, of monetary policy to the period of stability (eg 1993-2006)
- the contribution of monetary policy to the credit crunch
- the impact of monetary policy since the credit crunch.

The use of relevant diagrams to support the analysis should be taken into account when assessing the quality of the candidate's response to the question.

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